

CHINA SPORTSWEAR

Cutting Topsports/Pou Sheng estimates to reflect the termination of Nike online sales from CY2027

Topsports and Pou Sheng announced that Nike will terminate the companies' online platform sales of NIKE products in ML China from January 1, 2027. The affected business represented around 22% of Topsports' FY2/2026 group revenue and 15% of Pou Sheng's FY2025 group revenue. Topsports expects a material near-term negative impact, while Pou Sheng noted that the affected business made no significant contribution to group profitability; both companies will continue to cooperate with Nike on offline sales.

For Topsports and Pou Sheng, we revise down Topsports' FY2/27-29E sales and net income by 6-21% and 8-35% respectively; and cut Pou Sheng's FY27-28E sales and net income by 14% and 7-9% respectively to reflect the removal of Nike online sales from CY2027. We believe Nike's channel reform could continue to impact its sales in China which will impact Topsports and Pou Sheng's earnings in the near-term. We maintain Buy on Pou Sheng for manageable earnings impact and undemanding valuation, and Neutral on Topsports on already significant correction (share price down ~24% today, and down ~44% since the news out) and attractive dividend yield of 13% on our estimates. TP for Pou Sheng is maintained at HK\$0.49 (7x 2026E P/E unchanged) and that for Topsports is cut to HK\$1.2 on 8X FY2/28E PE (from 10X FY2/27 PE) reflecting the larger earnings impact.

For sportswear brands, we believe this could offer opportunities for other brands including Anta and Li Ning as Nike is still the largest sports brand in China with c.16% market share in 2025. Having said that, we will need to closely monitor Nike's strategy on the potential inventory management from these online channels which could lead to a more promotional environment, which could potentially serve as downside risks on margins to all the brands. Maintain Buy on Anta and Li Ning.

Background: The issue first surfaced in mid-June, when public news reports suggested that NIKE might terminate its online distributorship arrangements in mainland China from January 1, 2027. Topsports responded on June 25 that it had not received any official notice, while Pou Sheng did not publicly respond at the time. On Nike's FY4Q26 earnings call on June 30, management did not confirm any specific change, but reiterated plans to **elevate China's online and offline marketplace, improve full-price realization and work closely with local partners.**

GS view: While the news is not new, the official announcement and the magnitude of

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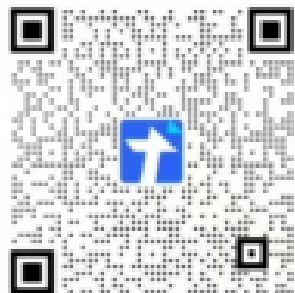
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the impact still came larger than what the market expected, based on our conversation with investors. We see downside risks to both Topsports and Pou Sheng's earnings in CY27-28 given the 22%/15% sales exposure; but the magnitude of the profit impact is different. According to both mgmts, Topsports mentioned earlier that the online margin is higher than group level, while Pou Sheng indicated that online sales are margin-dilutive given the substantial discount.

Thus, we revise down Topsports' FY2/27-29E sales and net income by 6-21% and 8-35% respectively; and cut Pou Sheng's FY27-28E sales and net income by 14% and 7-9% respectively. The assumptions reflect the removal of the Nike online sales from both companies, higher GPM given online sales carries lower margin so reduced online mix will drive blended GPM, and company's continued cost optimization. We believe both companies will continue to explore business opportunities and potential support with Nike though the clarity is uncertain. In the meantime, both companies have been aggressively expanding the emerging brands to drive better sales as consumer preference becomes more diverged; the event could push both companies to push further on expanding brand portfolio.

On valuation, we maintain Buy on Pou Sheng for manageable earnings impact and undemanding valuation, and Neutral on Topsports on already significant correction (share price down ~24% today, and down~44% since the news out on Jun 19) and attractive dividend yield of 13% on our estimates. TP for Pou Sheng is maintained at HK\$0.49 (7x 2026E P/E unchanged) and that for Topsports is cut to HK\$1.2 on 8X FY2/28E PE (from HK\$2.20, 10X FY2/27 PE) as we lowered the multiple to reflect heightened uncertainty of earnings outlook due to the Nike's impact, and roll over to FY2/28E earnings given the impact largely affect FY2/28E

For sportswear brands, on the positive side, we see opportunities for other brands given Nike's channel strategies reform will drag near-term sales and Nike remains the largest sports brands in China with c.16% market share in 2025, though we need to closely monitor the potential deteriorating promotion activities that will drag the margins. Maintain Buy on Anta and Li Ning.

Exhibit 1: Topsports earnings revision

Topsports	2026E			2027E			2028E		
Rmb mn	FY2/27E			FY2/28E			FY2/29E		
Accounting standard: IFRS	New	Old	Change	New	Old	Change	New	Old	Change
Income statements									
Total sales/revenues	22,711	24,260	-6%	19,759	24,857	-21%	20,198	25,429	-21%
COGS	(14,077)	(15,122)	-7%	(12,131)	(15,412)	-21%	(12,304)	(15,662)	-21%
Gross profit	8,634	9,138	-6%	7,628	9,445	-19%	7,895	9,768	-19%
SG&A	(7,450)	(7,858)	-5%	(6,728)	(8,001)	-16%	(6,824)	(8,202)	-17%
Other operating income/(expense)	75	80	-6%	65	82	-21%	67	84	-21%
EBIT (operating profit)	1,259	1,361	-8%	965	1,527	-37%	1,137	1,650	-31%
Net interest income/expense	(5)	(5)	0%	36	20	77%	30	3	838%
Non-operating income/(loss)	(5)	(5)	0%	36	20	77%	30	3	838%
Pre-tax profit (income before tax)	1,254	1,356	-8%	1,001	1,547	-35%	1,167	1,653	-29%
Income taxes	(213)	(231)	-8%	(170)	(263)	-35%	(198)	(281)	-29%
Net income	1,042	1,127	-8%	833	1,285	-35%	970	1,374	-29%
YoY chg%									
Revenue	-11.8%	-5.7%	-6.0ppt	-13.0%	2.5%	-15.5ppt	2.2%	2.3%	-0.1ppt
COGS	-11.8%	-5.2%	-6.5ppt	-13.8%	1.9%	-15.7ppt	1.4%	1.6%	-0.2ppt
Gross profit	-11.8%	-6.6%	-5.2ppt	-11.7%	3.4%	-15.0ppt	3.5%	3.4%	0.1ppt
SG&A	-10.7%	-5.8%	-4.9ppt	-9.7%	1.8%	-11.5ppt	1.4%	2.5%	-1.1ppt
Operating income	-17.3%	-10.6%	-6.7ppt	-23.3%	12.2%	-35.5ppt	17.8%	8.1%	9.7ppt
Pretax income	-16.8%	-10.0%	-6.8ppt	-20.2%	14.1%	-34.2ppt	16.5%	6.9%	9.6ppt
Net income	-17.7%	-11.0%	-6.7ppt	-20.1%	14.0%	-34.2ppt	16.5%	6.9%	9.6ppt
% of sales									
Gross margins	38.0%	37.7%	0.3ppt	38.6%	38.0%	0.6ppt	39.1%	38.4%	0.7ppt
SG&A	(32.8%)	(32.4%)	-0.4ppt	(34.0%)	(32.2%)	-1.9ppt	(33.8%)	(32.3%)	-1.5ppt
Other operating income	0.3%	0.3%	0.0ppt	0.3%	0.3%	0.0ppt	0.3%	0.3%	0.0ppt
EBIT margin	5.5%	5.6%	-0.1ppt	4.9%	6.1%	-1.3ppt	5.6%	6.5%	-0.9ppt
Adj EBIT margin	5.5%	5.6%	-0.1ppt	4.9%	6.1%	-1.3ppt	5.6%	6.5%	-0.9ppt
Pre-tax margin	5.5%	5.6%	-0.1ppt	5.1%	6.2%	-1.2ppt	5.8%	6.5%	-0.7ppt
Net margins	4.6%	4.6%	-0.1ppt	4.2%	5.2%	-1.0ppt	4.8%	5.4%	-0.6ppt
Effective tax rate	17.0%	17.0%	0.0ppt	17.0%	17.0%	0.0ppt	17.0%	17.0%	0.0ppt

Source: Goldman Sachs Global Investment Research

Exhibit 2: Pou Sheng earnings revision

Pou Sheng	2026E			2027E			2028E		
Rmb mn	New	Old	Chg%	New	Old	Chg%	New	Old	Chg%
Net Sales	17,009	17,009	0.0%	14,734	17,203	-14.4%	15,069	17,613	-14.4%
Cost of Goods Sold	(11,263)	(11,263)	0.0%	(9,528)	(11,368)	-16.2%	(9,731)	(11,621)	-16.3%
Gross Profit	5,746	5,746	0.0%	5,206	5,836	-10.8%	5,338	5,992	-10.9%
Operating Expenses	(5,419)	(5,419)	0.0%	(4,834)	(5,405)	-10.6%	(4,921)	(5,505)	-10.6%
Staff	(1,969)	(1,969)	0.0%	(1,883)	(1,948)	-3.3%	(1,912)	(1,990)	-3.9%
Rent	(813)	(813)	0.0%	(739)	(760)	-2.7%	(727)	(746)	-2.6%
Admin expenses									
Admin, Other opex	(2,637)	(2,637)	0.0%	(2,211)	(2,697)	-18.0%	(2,282)	(2,769)	-17.6%
Other operating income	181	181	0.0%	181	181	0.0%	181	181	0.0%
Operating profit	508	508	0.0%	554	612	-9.5%	598	668	-10.5%
Income before tax	481	481	0.0%	549	600	-8.5%	614	661	-7.1%
Net income	315	315	0.0%	360	393	-8.5%	402	433	-7.1%
YoY%									
Revenue	-0.7%	-0.7%	0ppt	-13.4%	1.1%	-14.5ppt	2.3%	2.4%	-0.1ppt
Gross profit	0.2%	0.2%	0ppt	-9.4%	1.6%	-11ppt	2.5%	2.7%	-0.2ppt
Operating Expenses	-3.0%	-3.0%	0ppt	-10.8%	-0.3%	-10.5ppt	1.8%	1.9%	-0.1ppt
Operating profit	40%	40%	0.1ppt	9%	21%	-11.5ppt	8%	9%	-1.2ppt
Pretax income	42%	41%	0.1ppt	14%	25%	-10.6ppt	12%	10%	1.6ppt
Net income	50%	50%	0.1ppt	14%	25%	-10.6ppt	12%	10%	1.6ppt
Margins %									
Gross margin	33.8%	33.8%	0ppt	35.3%	33.9%	1.4ppt	35.4%	34.0%	1.4ppt
OP margin	3.0%	3.0%	0ppt	3.8%	3.6%	0.2ppt	4.0%	3.8%	0.2ppt
Effective Tax rate	31.0%	31.0%	0ppt	31.0%	31.0%	0ppt	31.0%	31.0%	0ppt
Net margin	1.9%	1.9%	0ppt	2.4%	2.3%	0.2ppt	2.7%	2.5%	0.2ppt
Operating data									
Number of stores (self-operate)	3,110	3,110	0.0%	3,110	3,110	0.0%	3,120	3,120	0.0%
SSSG (Rmb terms)	1.5%	1.5%	0ppt	3.0%	3.0%	0ppt	2.0%	2.0%	0ppt

Source: Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Topsports Intl Holdings

Valuation methodology: We are Neutral-rated on Topsports with a 12-month target price of HK\$1.2 based on a 8x FY2/28E P/E.

Key risks: Downside: 1) slower-than-expected industry growth that leads to weaker sales and wider discounts; 2) stronger-than-expected negative impact from operating leverage; Upside: 3) better-than-expected brand momentum; 4) margin improvement and efficiency gains.

Price target risks and methodology - Pou Sheng International Holdings

Valuation methodology: We are Buy rated on Pou Sheng with a 12-month target price of HK\$0.49. Our TP is based on a 7x 2026E P/E.

Key risks: 1) Slower recovery of Nike/adidas growth in China; 2) higher discounts/inventory/operating deleverage.

Disclosure Appendix

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We, Michelle Cheng, Keira Liu, Molly Dai and Xinyu Ruan, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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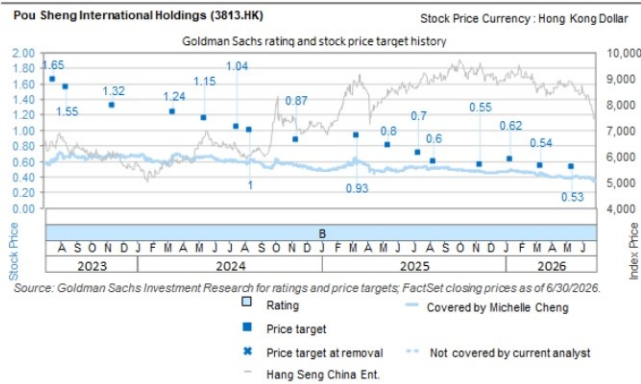
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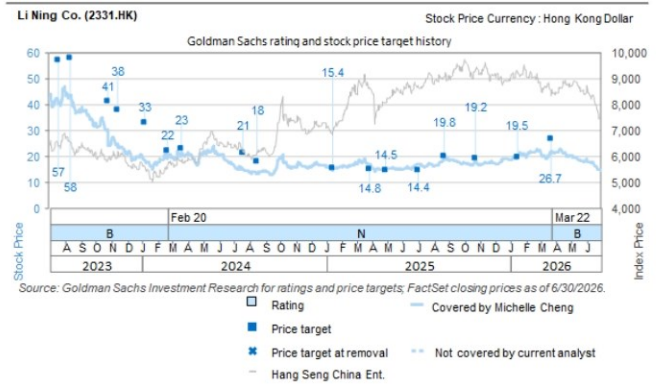
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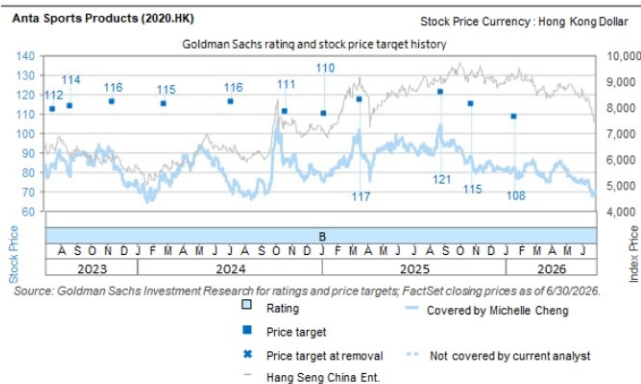
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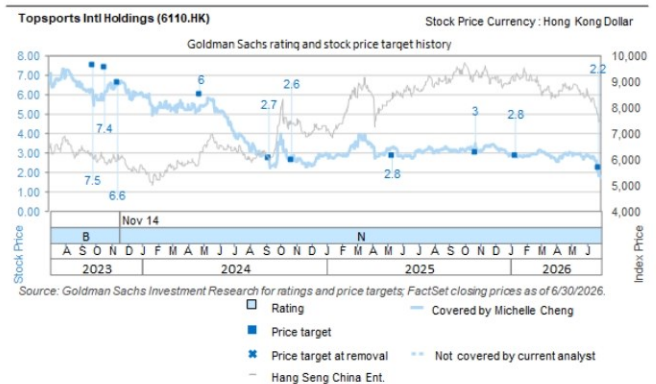
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Target price history table(s)

Li Ning Co. (2331.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
15-Jul-26	22.80	15.12
22-Mar-26	26.70	21.44
15-Jan-26	19.50	19.55
24-Oct-25	19.20	18.16
22-Aug-25	19.80	19.70
03-Jul-25	14.40	17.20
28-Apr-25	14.50	15.00
28-Mar-25	14.80	17.16
13-Jan-25	15.40	14.66
16-Aug-24	18.00	13.10
19-Jul-24	21.00	15.06
20-Mar-24	23.00	21.45
20-Feb-24	22.00	19.20

Pou Sheng International Holdings (3813.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
12-Jul-26	0.49	0.36
14-May-26	0.53	0.40
12-Mar-26	0.54	0.44
13-Jan-26	0.62	0.50
13-Nov-25	0.55	0.48
12-Aug-25	0.60	0.51
14-Jul-25	0.70	0.52
13-May-25	0.80	0.50
12-Mar-25	0.93	0.57
12-Nov-24	0.87	0.56
13-Aug-24	1.00	0.63
18-Jul-24	1.04	0.60
14-May-24	1.15	0.67

Li Ning Co. (2331.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
07-Jan-24	33.00	18.84
14-Nov-23	38.00	23.80
25-Oct-23	41.00	30.20
11-Aug-23	58.00	43.70

Pou Sheng International Holdings (3813.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
14-Mar-24	1.24	0.67
15-Nov-23	1.32	0.68
14-Aug-23	1.55	0.66

Topsports Intl Holdings (6110.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
25-Jun-26	2.20	2.05
13-Jan-26	2.80	2.90
23-Oct-25	3.00	3.48
12-May-25	2.80	3.25
24-Oct-24	2.60	2.76
10-Sep-24	2.70	2.66
26-Apr-24	6.00	5.44
14-Nov-23	6.60	6.52
19-Oct-23	7.40	6.06
26-Sep-23	7.50	5.85

Anta Sports Products (2020.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
20-Jan-26	108.00	82.55
27-Oct-25	115.00	87.80
27-Aug-25	121.00	101.60
19-Mar-25	117.00	97.90
08-Jan-25	110.00	75.25
22-Oct-24	111.00	87.10
08-Jul-24	116.00	71.35
26-Feb-24	115.00	77.70
14-Nov-23	116.00	86.65
22-Aug-23	114.00	77.65

Price targets shown in table(s) are unadjusted for corporate actions.

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